

TO: Rachel Kowal

FROM: Leen-Noemi Alexandre

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RE: Zogli Family – Legal Analysis of GuardAI’s Liability for an Injury

This memorandum examines whether GuardAI bears legal responsibility under tort and product liability law for the injuries Derek Zogli suffered during a police response triggered by the company's AI-powered security system. It evaluates the Zogli family’s claims of defective design, failure to warn, and breach of warranty, and weighs them against GuardAI’s defenses. The analysis focuses on whether GuardAI’s design and claims led to Derek’s injury, or if the actions of others were what caused the harm.

One of the Zogli family’s strongest claims rests on proximate cause, as defined in *Juisti v. Hyatt (1995)*. There, the Fourth Circuit held that a party may be liable when its negligence sets off a chain of events that foreseeably leads to injury. A hotel guest suffered a collapsed lung after evacuating during a false fire alarm caused by a cleaning crew’s failure to activate kitchen exhaust fans. While the district court found the injury too remote, the appellate court reversed, emphasizing that proximate cause exists if any injury is reasonably foreseeable, not necessarily the specific harm. As the court explained: “The question... is not whether the hotel’s negligence... could reasonably be expected to cause the plaintiff’s specific injury, but whether such negligence could reasonably be expected to cause the plaintiff any injury” (*Juisti* 1). This reasoning directly supports the Zogli family. GuardAI misidentified Derek, a registered user, and triggered a police alert that predictably escalated. Just as the hotel could foresee harm from evacuation, GuardAI could foresee that a false intruder alert might lead to injury once police

became involved. The court in *Juisti* also asked: “Might the hotel have anticipated that the plaintiff might suffer injury as a consequence of evacuating the hotel by taking the stairs when the hotel’s negligence caused the fire alarm to go off?” (*Juisti* 1). This broader lens of focusing on the likelihood of harm rather than its specific form fits the Zogli facts. GuardAI’s system escalated alerts despite known deficiencies in low light and with younger users. The risk of misidentification and police confrontation was built in. Derek being harmed by a third party does not sever liability when the company sets the events in motion. In both *Juisti* and the GuardAI case, the safety system functioned as designed but was triggered by negligence. The response, evacuation, or dispatch, and the injury were foreseeable. *Juisti* affirms a central tort principle: parties should be held accountable for preventable harm within the scope of foreseeable consequences. GuardAI failed to test the system under realistic conditions and connected it directly to law enforcement. Under *Juisti*, it bears responsibility for Derek’s injury.

GuardAI is also subject to strict liability for defective design because the system failed during ordinary, intended use. In *Greenman v. Yuba Power Products Inc. (1963)*, the California Supreme Court held a manufacturer strictly liable when a product, sold for use without inspection, causes injury during regular operation due to a design defect. The plaintiff was injured using a Shopsmith tool as intended when loose set screws caused a piece of wood to fly out. The court wrote: “Plaintiff was injured while using the Shopsmith in a way it was intended to be used... that made the Shopsmith unsafe for its intended use” (*Greenman* 4). This holding directly applies. Derek used GuardAI’s system precisely as intended, yet it misidentified him and triggered a police response. This wasn’t misuse or an outlier. It was a predictable breakdown in core functionality. Like the Shopsmith, GuardAI’s product became dangerous when it failed to perform its essential task: distinguishing residents from intruders. The *Greenman* court

emphasized that strict liability protects consumers from risks they can't anticipate or prevent. GuardAI vaguely warned about low-light limitations, but that did not give the Zogli family meaningful options. They submitted low-light photos to help the system adapt, but it still failed. The flaw was not avoidable; it was structural. As *Greenman* explains: "The purpose of such liability is to ensure that the costs of injuries resulting from defective products are borne by the manufacturers... rather than by the injured persons who are powerless to protect themselves" (*Greenman* 4). The Zoglis couldn't inspect the system's algorithm, test it for edge-case scenarios, or override the automatic police escalation. They relied entirely on GuardAI's design and suffered the consequences.

Beyond defective design, the facts also support a claim for breach of warranty. GuardAI's marketing described the system as having "unparalleled accuracy," "advanced human recognition that eliminates false alarms," and "99.7% reliability," with visuals showing accurate performance in low-light and partial-visibility conditions. These statements, paired with GuardAI's promotional materials, went beyond puffery. There were specific claims about how the product would perform under the same conditions under which it failed. The Zogli family relied on those claims when configuring the system, and that reliance proved harmful when the product was unable to recognize Derek in dim lighting. When companies promote safety features and fail to deliver them, that disconnect constitutes a breach of express warranty. When a product fails during normal use due to a design flaw — or fails to provide the safety it promised — liability is not only justified but necessary. In sum, GuardAI's failure mirrors the Shopsmith in *Greenman*: a product that, despite warnings and assurances, became unsafe in regular use. Under tort and warranty law, the manufacturer, not the user, must bear the cost of that failure.

However, from GuardAI's perspective, the company cannot be held liable for Derek Zogli's injury because it provided clear, repeated warnings about the system's limitations, which the Zogli family chose not to follow. In *Hood v. Ryobi* (1999), the court held that a manufacturer is not liable when a consumer disregards multiple explicit safety warnings and is injured while misusing the product. There, Mr. Hood removed the blade guards from a miter saw despite at least seven warnings not to do so, and was injured when the saw blade struck his head. The court ruled in favor of Ryobi, finding that the injury resulted from the plaintiff's conscious disregard of those warnings. This precedent strongly supports GuardAI. Like Ryobi, GuardAI fulfilled its duty to warn. It notified users of the system's low-light limitations, cautioned that facial recognition may struggle with teens and young adults, and instructed users to complete a tutorial, upload clear photos, and ensure that household members knew the override code. These warnings were not hidden. They appeared throughout the setup process, in status reports, and on the keypad itself. Yet the Zogli family skipped the tutorial, submitted dimly lit photos, and failed to ensure Derek knew the override code. As in *Hood*, the warnings were accessible and understandable; the users simply failed to follow them. The *Hood* court emphasized that "Maryland imposes no duty to predict that a consumer will violate clear, easily understandable safety warnings," making clear that the law does not expect companies to prevent all user error (*Hood* 3). Holding GuardAI liable despite these warnings would impose an unreasonable burden, requiring manufacturers to anticipate and prevent user misconduct, which product liability law does not support.

The *Hood* court also made a critical distinction: when a user ignores clear instructions, their actions become the proximate cause of the harm. The court wrote: "Hood's own conduct thus caused his injury and defeats any claim that the saw is defective in design" (*Hood* 4). The

same reasoning applies here. Derek's inability to stop the system and the family's failure to follow the onboarding protocols severed the chain of liability. *Hood* reflects a tort framework built on fairness and responsibility. It protects manufacturers who provide adequate safety instructions and places the burden on users who disregard them. GuardAI gave the Zogli family the tools to prevent this outcome. Because they chose not to use them, the consequences are theirs, not the company's. Just as Ryobi was not liable in *Hood*, neither should GuardAI be.

The Zogli family presents a strong case by identifying multiple legal theories that suggest GuardAI's system contributed to the chain of events. However, even if the system misidentified Derek, that error alone did not cause the shooting. The real harm came from a series of independent decisions: a dispatcher who escalated a low-level alert based on unrelated intelligence, and a rookie officer who failed to follow threat assessment training and violated department protocol. Had the dispatcher left the alert classified as low-level, it likely would have triggered a routine patrol response, not a tactical team. And had the officer followed his training, he might have recognized that Derek was holding a phone, not a weapon. These breakdowns occurred after GuardAI had done its part. In the end, tort law does not ask companies to guarantee perfect outcomes, only to act reasonably within their role. GuardAI's role ended when it flagged a possible intruder and deferred judgment to law enforcement. What followed was out of its hands, and it should not be held liable for decisions it neither made nor could have prevented.